

Chapter 7

The Most Compelling Alternative Asset of the Twenty-First Century

Bitcoin is the most exciting alternative asset in the twenty-first century, and it has paved the way for its digital siblings to enjoy similar success. In this chapter, we dive into how bitcoin evolved as an asset in the context of absolute returns, volatility, and correlations, concluding with how a small allocation of bitcoin would have affected a portfolio over different holding periods. Because bitcoin can claim the title of being the oldest cryptoasset—giving us the most data to investigate its maturation—understanding its longitudinal market behavior will give us a window into how other cryptoassets may evolve over time.

BITCOIN'S EARLIEST PRICING